

complaint

Miss A has complained about Hiscox Insurance Company Limited's decision to record a claim made under her home insurance policy as relating to subsidence.

background

In 2005 Miss A reported to Hiscox damage to her home which consisted of cracking. The neighbouring property had been similarly affected. Following investigations, Hiscox concluded that the damage was the result of water escaping from drains and causing sub-soils under the property to be washed away. Drainage repairs were carried out, and following a period of monitoring the movement of Miss A's property, repairs were undertaken to internal damage.

During the course of the claim being dealt with by Hiscox, Miss A received correspondence on behalf of Hiscox that referred to a policy excess of £1,000 being due in respect of the subsidence claim. Miss A stated that she considered the claim was one for damage caused by escape of water. Subsequently Miss A received a letter from the loss adjuster appointed by Hiscox that was headed "*Insurance Claim – Escape of Water.*" This detailed the calculation of the settlement sum due to Miss A, and included the deduction of a policy excess applicable to escape of water claims of £250. Miss A signed a settlement form that described the claim as being for an escape of water.

In the course of renewing her insurance cover in 2010, Miss A became aware that the claim had been recorded as one relating to subsidence. Miss A disputed that this was the correct categorisation of the claim. She has highlighted that there is no definition within the policy of subsidence, and has suggested that consequently the policy terms in this regard are ambiguous. Whilst Miss A accepts that leakage from the drains washed away sub-soils, and that this in turn resulted in the walls cracking, she considers the effective cause of damage in this case was escape of water, and that the claim should therefore be recorded as one relating to an escape of water.

Miss A has stated that when Hiscox applied the policy excess for escape of water in its settlement of the claim, it was accepting that the claim was not one relating to subsidence. Miss A considers that Hiscox is now bound under the terms of the settlement to treat the claim as one relating to escape of water, and she disputes that the use of the term 'escape of water' on the settlement form related only to the policy excess that would be charged under the claim.

In response to the issues raised by Miss A, Hiscox accepted that there had been some confusion regarding the categorisation of the claim. It did however consider that the claim was one of subsidence, as it arose from the downward movement of the site on which Miss A's property stands. Hiscox also indicated that the policy excess applicable to a subsidence claim should have been payable, but confirmed that it was not seeking this additional sum.

Dissatisfied with Hiscox's stance in this matter, Miss A brought a complaint to this service. She has asked that Hiscox remove records stating that the claim related to subsidence, and reimburse her for any additional premium she has paid due to the subsidence record being in place.

Our adjudicator did not uphold this complaint. Her view was that the evidence suggested the damage at Miss A's home dealt with under the claim was subsidence, resulting from an

escape of water. In addition, the adjudicator was not persuaded that when settling the claim Hiscox had entered into an agreement to record the claim as escape of water. Instead her view was that escape of water was recorded on the settlement form simply as a means to ensure that the lower escape of water policy excess, rather than the subsidence excess, became due.

Miss A disagreed with the adjudicator's findings. She did not accept that a definition of subsidence as being the downward movement of the site on which a building stands is appropriate in the circumstances of this case. Miss A has reiterated that the policy does not contain a definition of subsidence, and as such she considers it ambiguous. In her view, the claim could fall under either subsidence or escape of water. As she considers there is ambiguity within the policy terms, Miss A has stated that the terms should be interpreted against Hiscox as the party that drafted them, resulting in the claim being considered as one relating to escape of water.

Miss A has referred to a dictionary definition of subsidence being "*the more or less gradual sinking or caving in of an area of ground due to geological forces, mining operations etc.*" As this differs to our adjudicator's definition of subsidence, Miss A states that this indicates there is no common definition for this term. She has also stated that the consulting engineer who dealt with the claim regarded it as one for escape of water, and has highlighted that her neighbours' insurer categorised the claim as escape of water.

When settling the claim, Miss A states that Hiscox gave no indication that the term 'escape of water' shown on the settlement form related only to the policy excess that was being applied. She considers that an implied term of the settlement was that Hiscox would record the claim as escape of water, and states that Hiscox is estopped from recording the claim as one for subsidence. Miss A has also highlighted that when in correspondence about the settlement of her claim, she did not request that the claim be considered as one for escape of water only so that a lower policy excess was applied under it.

Miss A has asked that Hiscox provide evidence so that it can be determined whether she has paid higher premiums due to the recording of a subsidence claim under her policy. She has also provided a statement from a local estate agent to demonstrate that both the market value of her property and the ease with which she will be able to sell it have been detrimentally affected by the categorisation of the claim as subsidence.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

Miss A has highlighted that the policy does not contain a definition of 'subsidence', and she has suggested that the policy terms in this regard are ambiguous. My view is that it is not necessary for an insurance policy to define all terms used within it, and that in the absence of a definition, it is reasonable for an undefined term to take its normal meaning. I have noted the dictionary definition provided by Miss A. However, I would agree with the adjudicator that an appropriate definition of subsidence is the downward movement of the site on which a building stands.

It seems that all parties involved in Miss A's claim accepted that an escape of water from drains caused sub-soil to be washed away, and that this then caused movement of the

property and cracking within it. The policy stated that Hiscox “*will insure the buildings...against physical loss or physical damage*”.

The engineer involved with the claim stated: “*Damage at the property is consistent with a recent episode of subsidence, and on balance we believe that a valid claim arises under the escape of water section of the policy, and that the EoW [escape of water] excess is applicable.*”

In my view, whilst there was an escape of water from the drains, the physical damage to the property that was covered under the policy was subsidence damage, resulting from downward movement of the ground beneath the buildings. As such, I consider Hiscox has correctly recorded the claim as being one for subsidence.

The settlement form in respect of the claim that was signed by Miss A stated that the claim was “*for escape of water*”, and when the settlement cheque was sent to Miss A, the covering letter was headed “*Escape of Water.*” Miss A has suggested that there was an implied term within the settlement agreement that the claim would be recorded as escape of water.

However, I note that throughout the correspondence that took place between Miss A and Hiscox and its agents, the term subsidence was regularly used. On balance, my view is that in its use of the term escape of water when settling the claim, Hiscox was referring to the application of the escape of water policy excess. I do not consider that Hiscox was implying that the claim would be recorded as escape of water rather than subsidence, taking into account the previous correspondence that Miss A had had with the insurer and its agents.

I appreciate the concerns that Miss A has regarding the marketability and potential sale price of her property now that a subsidence claim has been recorded against it. However, my view is that Hiscox has recorded the claim correctly as subsidence, and so I do not consider that it has any liability in this respect, or with regard to any increased insurance premium that may be applied to the property due to the subsidence record. Miss A has stated that her neighbours’ insurer has not recorded the claim as being one for subsidence. However, this does not demonstrate to me that Hiscox’s recording of the claim is incorrect.

my final decision

My final decision is that I do not uphold this complaint, and I make no award.

John Swain
ombudsman